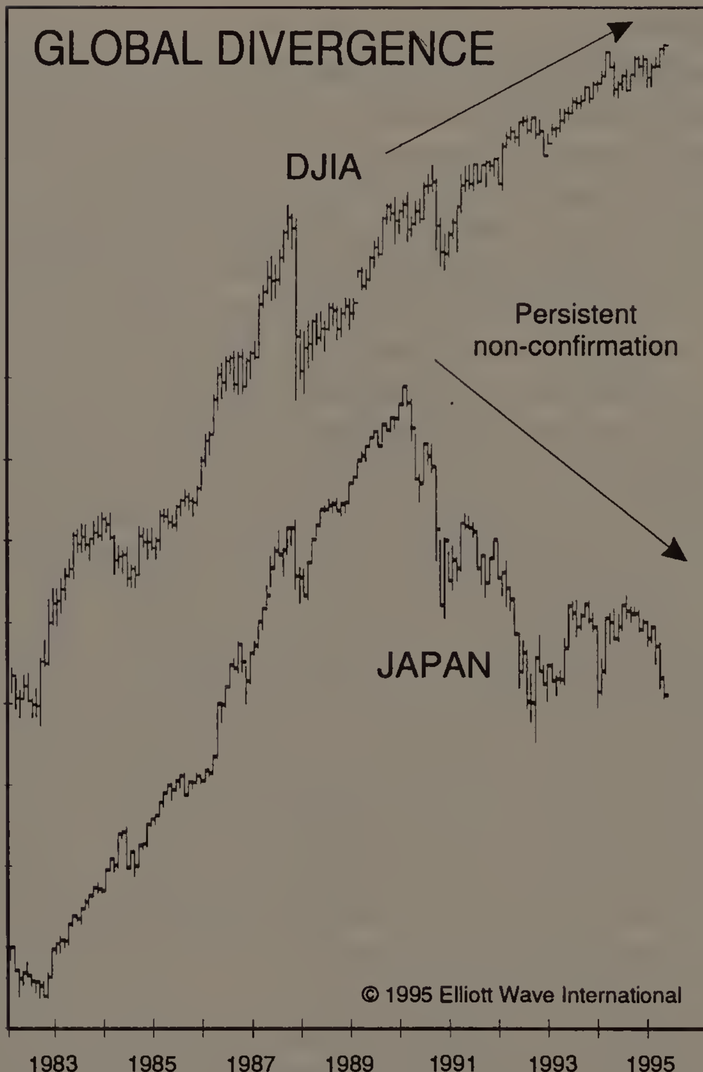

Figure 9-6

Breadth

The advance-decline line is the number of stocks advancing minus the number of stocks declining on a daily basis continually added to a running total. Thus, the a-d line is a reflection of the breadth of participation of the smallest subsectors in the stock market, the individual stocks that compose it.

The a-d line is not a reflection of market value, because it does not take into account whether a stock goes up or down a lot or a little; it reflects only direction. The value of the indicator is nevertheless substantial because *it acts differently at different times in a market cycle*. For whatever psychological reason, investors' buying and selling impulses cause a greater percentage of stocks to go up